Executive Summary

Customer churn, SME division

Hypothesis tested
Churn is driven by customer price sensitivity

Discounts may not be the best way to cut churn

- Customers are not overly price sensitive
- Test targeted outreach and engagement first

Churn is high in the SME division

- 9.7% churn across 14.6k customers
- Newer clients churn more; gas clients less (8% vs 10%)

Churn can be measured and predicted

- Random Forest on usage, margin, contract, price data
- Precision 90% but recall only 5%, needs work

Price sensitivity is not the primary driver

- Consumption, meter rent and margins lead
- Price-change features add only a weak signal